

The invariant does not change, remaining at $16 = 2 \times 8$. The exchange rate does change, however, and is now $2A:1B$.

Keeper. A class of *externally owned accounts* that is an incentive to perform an action in a *DeFi* protocol of a *dApp*. The keeper receives a reward in the form of a flat fee or a percentage of the incented action. For example, the keeper receives a fee for liquidating a *collateralized debt obligation* when it becomes undercollateralized.

Know Your Customer (KYC). A provision of U.S. regulation common to financial services regulation requiring that users must identify themselves. This regulation has led to *geoblocking* of U.S. customers from certain *decentralized exchange* functionalities.

Layer 2. A *scaling* solution built on top of a *blockchain* that uses cryptography and economic guarantees to maintain desired levels of security. For example, small transactions can occur using a multisignature payment channel. A *blockchain* is used only when funds are added to the channel or withdrawn.

Liquidity provider (LP). A user that earns a return by depositing assets into a pool or a *smart contract*.

Mainnet. The fully operational, production *blockchain* behind a token, such as the *Bitcoin* blockchain or the *Ethereum* blockchain. Often used to contrast with *testnet*.

Miner. Cycles through various values of a piece of data called a *nonce* to try to find a rare *cryptographic hash* value in a *proof-of-work blockchain*. Gathers and validates candidate